

club, you're not going to hear, "Hey, did you hear that Joe got a raise? Yeah, and a two percent cost-of-living allowance to boot?" If you did hear that, you'd know you're listening to a *guest* for the day.

WEALTH PRINCIPLE:

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The true measure of wealth is net worth, not working income. Always has been, always will be. Net worth is the financial value of everything you own. To determine your net worth, add up the value of everything you own, including your cash and investments such as stocks, bonds, real estate, the current value of your business if you own one, the value of your residence if you own it, and then subtract everything you owe. Net worth is the ultimate measure of wealth because, if necessary, what you own can eventually be liquidated into cash.

Rich people understand the huge distinction between working income and net worth. Working income is important, but it is only one of the four factors that determine your net worth. The four net worth factors are:

1. Income
2. Savings
3. Investments
4. Simplification

Rich people understand that building a high net worth is an equation that contains all four elements. Because all of these factors are essential, let's examine each one.

Income comes in two forms: working income and passive income. Working income is the money earned from active work. This includes a paycheck from a day-to-day job, or for an entrepreneur, the profits or income taken from a business. Working income requires that you are